ROUNDUP

To AJAY from JANG
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Peter Newell

Vontobel Asset Management, a New York-based specialist in US equity value investing, is targeting Asian institutional investors for the first time. Peter Newell, managing director, has just completed his inaugural visit to Hong Kong to market the firm's newly created, Dublin-domiciled US Value Fund. The fund has also just been registered with Hong Kong authorities so that it is available to retail investors, although for now the focus is on the institutional market.

Newell explains the firm has a strategic alliance with Janus Group: Vontobel fills a specialist asset class for Janus in return to leveraging its international distribution platform. With $2.2 billion under management, Vontobel is too small to own its own distribution. (Its Swiss-based parent, Vontobel Group, separately has some $40 billion of assets under management, mainly in European assets.)

A survey by the Securities and Futures Commission in Hong Kong highlighted the leading role that distributors play in selling mutual funds, for better or worse.

The portion of adults investing in funds rose to 9.9% thanks to the popularity of guaranteed funds, preferred by over half of respondents, particularly older women with lower levels of education. The survey found a correlation between these investors and dependence upon distributors for suggestions.

Fortunately the vast majority of fund investors report they understood the fund's objectives (100%) and fees charged directly to them (88.5%) – although it is not clear from this wording whether this includes understanding of buried charges in structured products. The implication of this survey is that the rise in Hong Kong's mutual fund retail investing is largely due to distributors (which in this town usually means banks) plugging guaranteed funds to unsophisticated grannies.

Richmond Asset Management is launching five offshore, Bermuda-domiciled funds aimed at Asian high-net worth and institutional clients, in a bid to transform itself from an investment advisor to a full-fledged boutique fund management house.

The firm made its initial foray into managing its own funds two years ago with the introduction of Funds Optimization Service (FOS), a momentum strategy using dynamic allocations among mutual funds around the world. For the decade prior to that, Richmond had been a financial planner and investment advisor, a role it continues. FOS racked up 110% returns (gross of fees) in those two years. It also found its currency management, operating along similar lines, was effective. The firm now has $350 million of funds under advisement and under management. Richmond's founder, Graham Bibby, is driving the initiative and looking to hire at least one more associate to manage the new portfolios. Bibby is also diversifying Richmond into property development, mainly in Phuket.


Graham Bibby

The funds are not authorized by the Hong Kong authorities, and are intended for affluent investors. They pursue strategies in mutual funds, currencies, equities, hedge funds and structured products.

Britain's Prudential Asset Management plans to build an offshore product range for its retail mutual fund investors around the Asia Pacific, where it currently manages $15 billion, says Ajay Srinivasan, managing director of fund management in Hong Kong.

Unlike many foreign names that set up hubs to provide offshore products before dipping a toe into domestic waters, Prudential fancies itself a domestic player across the region that is now looking to provide international exposure to retail clients.

The firm has just established a division in Singapore to coordinate this effort led by Suraj Mishra, who previously led the regional product development team. The work involves selecting what funds from Prudential's UK affiliate fund house MNG to provide to Asian clients and register them in the various markets as regulations permit. The firm wants to be able to begin promoting offshore funds by the end of the year.

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Developing The Retail Market

That's the strategy for Prudential Asia's asset management business.

by Bharathi Rajan

"We're Focused On The Retail Market" Notes Prudential Asset Management

For many Singaporeans, the name Prudential is closely associated with insurance. The UK based global giant sells an extensive range of policies from accident and critical illness coverage to endowments and education trusts. But what some investors may not know is that Prudential also has a large asset management business. As a fund manager, it has global operations in the USA, UK and Asia. In Asia alone, assets under management are worth over US$ 35 billion, with top 5 market leadership positions in India, Taiwan and Malaysia. In Singapore, most of the funds under management are still derived from Insurance Linked Products or ILPs, but that could soon change.

Recently, Prudential Asset Management (Singapore) launched the Pru Dragon Peacock Fund, the only retail fund in Singapore that invests in both India and China. The fund consists of a concentrated portfolio of 20 to 40 stocks. The fund's benchmark is 50% MSCI China Index and 50% MSCI India Index. It has a long term strategic asset allocation of 50% in China and 50% in India, with maximum tilts of 25% either way. With such products, the fund house hopes to raise its visibility in the local retail market and improve unit trust sales. In this interview, Ajay Srinivasan, Managing Director of Fund Management, Prudential Corporation Asia, says that Prudential's asset management business in Asia (and thus Singapore) is focused on developing the retail market. He explains why.

Bharathi Rajan: Prudential is well-known globally for its insurance business. But it also has a large asset management business, which isn't as well known in Asia. Can you talk a bit about that?

Ajay Srinivasan: There are two components to Prudential's fund management business in Asia. First, we run the money for the insurance companies. We consider this a tremendous asset. But that's just the first part of Prudential's fund management business. The other part is the unit trust/mutual fund business. With this business, we have operations in seven countries. We started this business in India in 1998, the first of its kind for Prudential in the region. We later acquired a company in Taiwan at the end of 2000 and then we entered Singapore, Malaysia and Japan markets. Last year, we got into Korea, of course in between there was our entry into Hong Kong. So that's our geographic spread - seven countries where we have an asset management business. If you add all this together, i.e the insurance assets we manage plus the mutual funds roughly we have about US$ 35 billion in terms of funds under management.

markets?

AS: If you go by population then Singapore would be reasonably small in a regional context. But remember that Singapore is a regional money centre and financial services hub. So it's not necessarily just the Singapore population you are talking about. You are also catering to the requirements of wealth managers who manage money out of Singapore. And that's a different target population altogether. This is also where Prudential's brand awareness has relevance.

BR: So the decision to enter the Singapore retail market is also strategic?

AS: Yes, it is. Singapore is an important market for Prudential. From a fund management perspective, it becomes important for us to support the life insurance side, as well as leverage off our heritage and awareness so as to build the unit trust side of the business.

BR: Singapore already has a number of large foreign fund houses and newer names like Fidelity have recently entered the retail market. How then do you intend to compete against them?

AS: In that respect, Singapore is not very different from other markets. We are competing with global players in almost every market we operate, and we operate in all the big markets in Asia. So therefore by definition, we're already competing with the big players. Our strength is that we have a customer centered view of business. We work to understand consumers, and provide products and solutions to meet consumer needs. Financial services are not always about what you need to do. It's about how you do it. I think that's what makes a difference. Everybody knows you need to have a good product, you need to have a good distribution network, and you need to have good service. How all these come together is what differentiates us from our competitors.

For us, the way we expand our geographical presence depends on two things. We look at countries that have a large pool of savings. These would automatically be an attraction for us, as retail markets. Good examples would be Korea and Japan, where there are substantial assets under management.

Another dimension is to leverage on the Prudential brand name, and our strength in understanding the needs of customers in the local markets. Singapore is one example of that, and so is Malaysia. Certainly, the mutual fund business is not as well-known as the insurance business. The insurance business has been around much longer and therefore has a history and heritage much longer than us. However there are some positive attributes which we associate with Prudential as a brand, such as trust and a focus on meeting customer needs and this also applies to the asset management business. While we adapt ourselves to the country that we work in, we still share the same core Prudential brand values.

BR: In Singapore the insurance and Investment Linked Products (ILP) are more widely sold than unit trusts. Do you see that as a hindrance to selling unit trusts?

AS: No, I think it's a function driven by both customer needs, and the distribution in local markets. So if the customer's requirement is to buy insurance or an ILP then that's his choice. I think that the unit trust distribution is quite different to the ILP distribution. Unit trust allows you to distribute from the banking channels, whereas ILP typically goes through insurance channels. You're dealing with different channels and different customer needs. I think the question of conflict doesn't arise because you are driven by what the customer wants, and the products he or she wants to buy.

BR: Why not just focus on the ILP's to build funds under management, since they are so popular here? Why worry about boosting unit trust sales?

AS: Because not all channels sell ILP's. And that's why we come back to channels. If you want to provide a wide range of products for a wide range of customers, then you have to provide products that they want through the channels that they want.

We see products and distribution as a means to meet customer' needs. So that aspect of the business is very important. We believe we have a strong retail proposition and that the products that we have appeals to a variety of customers. They can access our products through a bank, a financial advisor, and even through a stockbroker. We want our customers to be able to access our products through multiple channels, so they can choose the option that best matches their needs. That's one of the defining features of our retail asset management business.

BR: Do you see the asset management business in Asia as more retail or institutional?

AS: I think it varies from market to market. In a market like Singapore, of course there is big institutional money. Retail participation is quite high as well. In a market like Taiwan, the dynamics are a bit different. Most of the bond funds are bought by corporations. Now, these are institutional customers behaving like retail customers because they buy retail products. That's the way the Taiwanese industry is and we're one of the largest players there.

Our aim in Asia is to provide comprehensive range of products to meet the financial needs of our target market, covering both institutional customers but primarily retail customers. This doesn't mean we will avoid institutional money. But my focus is to build the retail business. Prudential is a retail financial services provider and we cater to retail customers. That's where the brand is the most well-known, and therefore there is a natural synergy. Also, retail customers tend to buy products for the longer term than institutional customers. And typically, relationships built on a retail basis tend to be much more long-lasting.

BR: Is the Singapore retail market considered small in comparison to other Asian